

late eighteenth century, had to do, yes, with entrepreneurship and risk taking, with raising capital, with vigorous competition, with free markets, and with the returns on capital going to those who put up the capital. But central to the effective functioning of early capitalism was the fundamental principle of trusting and being trusted.

That is not to say that the long history of capitalism has not been punctuated by serious failings. Some were moral failings, such as the disgraceful treatment of laborers, often mere children, in the factories of an earlier era. Other failings included breaking the rules of fair and open competition, exemplified by the oil trusts and robber barons of yore. By the latter part of the twentieth century, yet another failure fell upon us: the erosion of the very structure of capitalism. Not only had trusting and being trusted come to play a diminishing role, but the owners of our businesses were relegated to a secondary role in the functioning of the system.

Owners, Not Agents

As I see it, there were two major forces behind this counterproductive development: First is the change that I've described as the pathological mutation from *owners'* capitalism to *managers'* capitalism. Our old ownership society—in which the shares of our corporations were held almost entirely by direct stockholders—gradually lost its heft and its effectiveness. Since 1950, direct ownership of U.S. stocks by individual investors has plummeted from 92 percent to 26 percent, while indirect ownership by institutional investors has soared from 8 percent to 74 percent—a virtual revolution in the ownership structure. Our old ownership society is now gone, and it is not going to return. In its place we have a new agency society in which our financial intermediaries now hold effective control of American business.

But these new *agents* haven't behaved as agents should. Our corporations, pension managers, and mutual fund managers have too often put their own financial interests ahead of the interests of the *principals* whom they are duty-bound to represent, those 100